

Fearnleys Dry Bulk Weekly

Aug 27, 2025

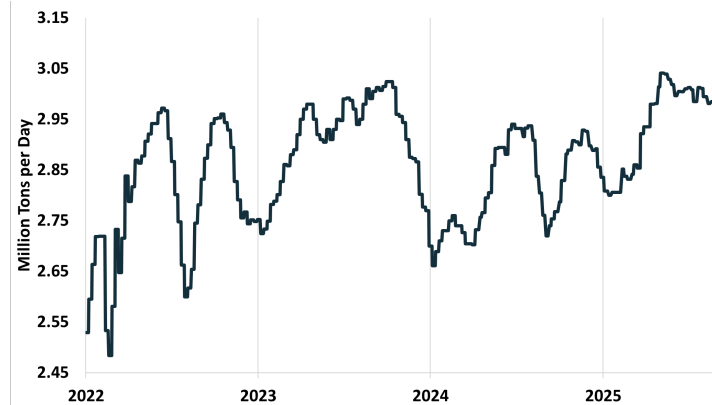


Capesize/Newcastlemax

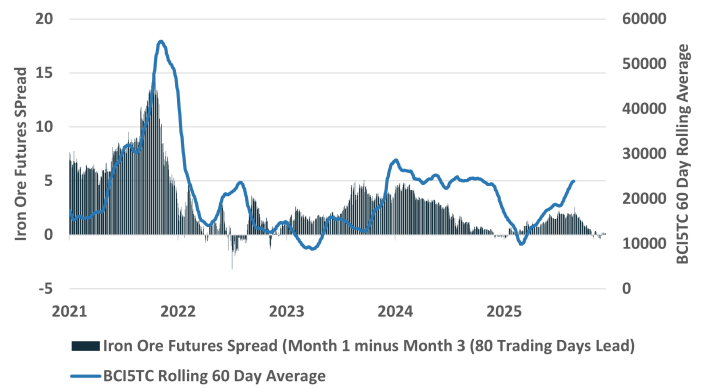
Profit margins at Chinese steel mills have weakened noticeably over the last weeks, with the average margins for rebar turning negative for the first time since early June. Along with that, the near-month iron ore futures curve remains in contango. As shown on the top right chart, changes in the futures curve often lead the Capesize market direction accurately.

So, there are a few clear downside risks in the coming months, but on the other hand, imported iron ore consumption in China is still high at close to 3.0 million tons per day, and Bauxite shipments is at the seasonal low point.

China Daily Imported Iron Ore Consumption



Iron Ore Futures Spread, 1st Month Minus 3rd Month (4 Months Lead) vs BCI5TC 60 Days Rolling Average

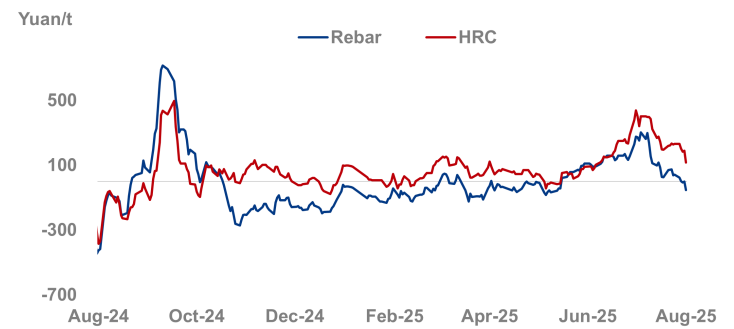


China - Share of Steel Mills that are Profitable, 7 weeks lead, vs Daily Hot Metal Output



China Average Rebar and HRC Profit Margins (MySteel)

HRC and Rebar profit margins



Source: Mysteel Data

Panamax/Kamsarmax

Lots of uncertainty and unusual developments in grain markets over the last months, due to Trump's trade war. US soybean and corn sales to China are close to zero for the upcoming season. US corn sales to the World ex-China are consequently at all-time highs, whereas Soybean sales can not be absorbed nearly to the same degree. China might draw down its own inventories in the coming months, combined with Argentina and Brazil using some of their inventories. Another option is, of course, a so-called "TACO", which, given the complaints by US soybean farmers, also is a likely option...

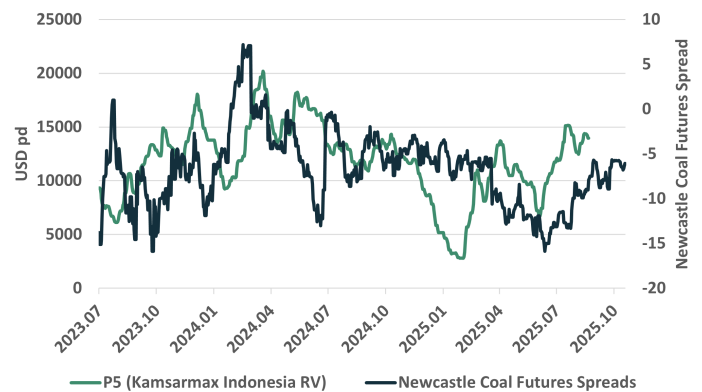
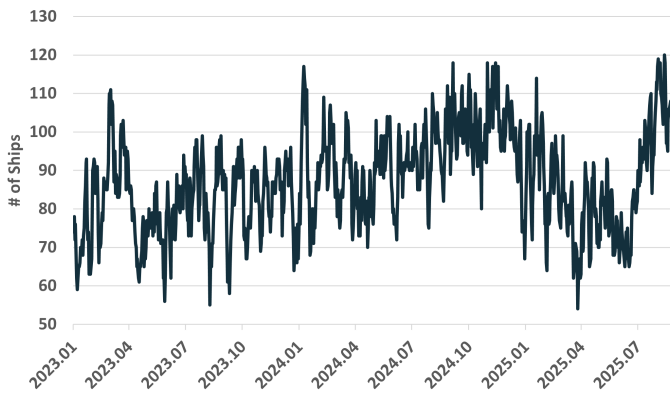
Nonetheless, we see reports that the demand for Soybeans is currently low, as China has stocked up well.

Regarding coal, the futures curve still prices in some immediate tightness as September futures remain below spot prices. However, beyond September, the curve is in contango.

The top right chart shows the relationship between the Newcastle coal futures curve against P5, with the coal futures curve leading by two months. It's far from a perfect correlation, as other factors also play a part, but the futures curve did catch the peak in Q1 last year, the downtrend until June this year, followed by the upturn since then.

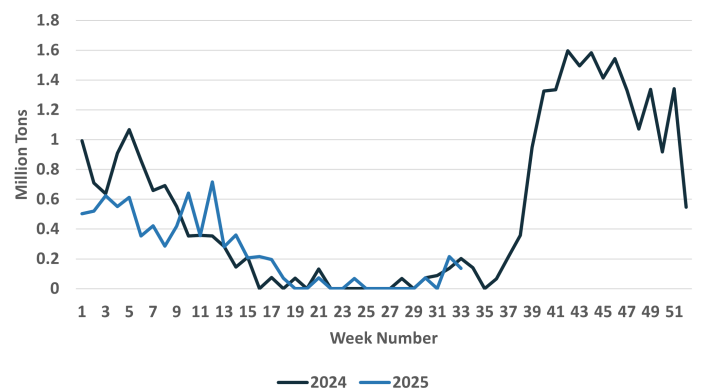
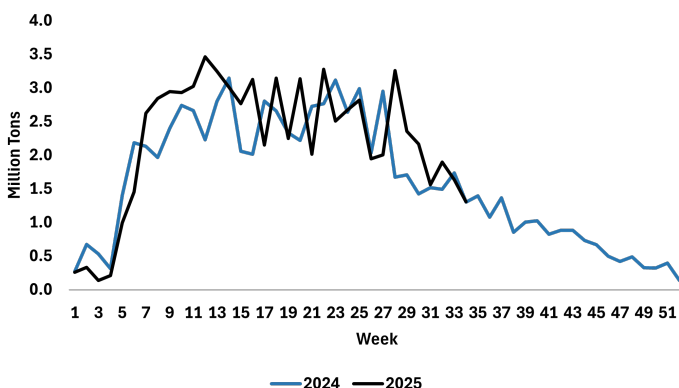
Panamax / Kamsarmax Heading to Indonesia

P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



Panamax/Kamsarmax Brazil Soybean Loadings 24 vs 25

Panamax / Kamsarmax USA Soybeans Loadings 24 vs 25



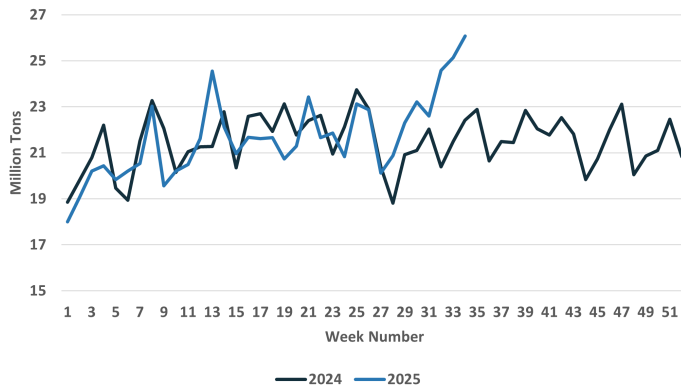


Supramax/Ultramax

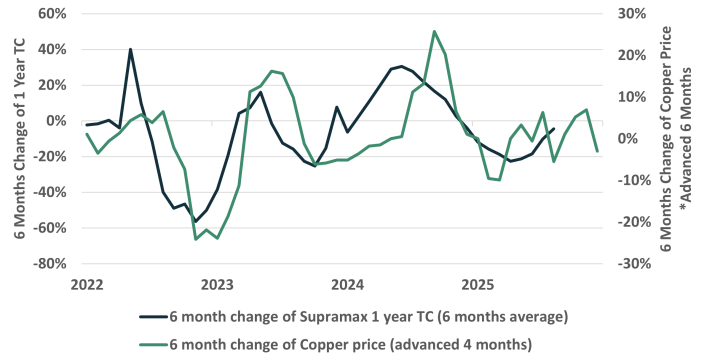
Copper prices, as usual, served as an accurate leading indicator of direction changes in the Supra/Ultra market (top right chart). For those in need of an explanation, the correlation is not due to the significance of copper shipment volumes, but because the price of copper serves as an accurate barometer of global industrial activity, as the metal is used for numerous purposes. The upturn in copper prices was not that significant, so the degree of the upturn in the Supra/Ultra market has been stronger than the upturn in copper - at least in spot markets, as 1-year TC rates remain far below where they were at the peak last year, even though spot levels have climbed back up to peak 2024 levels.

At some point, the ongoing rally will take a breather. That point could be this week, given the sharp reversal in FFAs seen for all segments today.

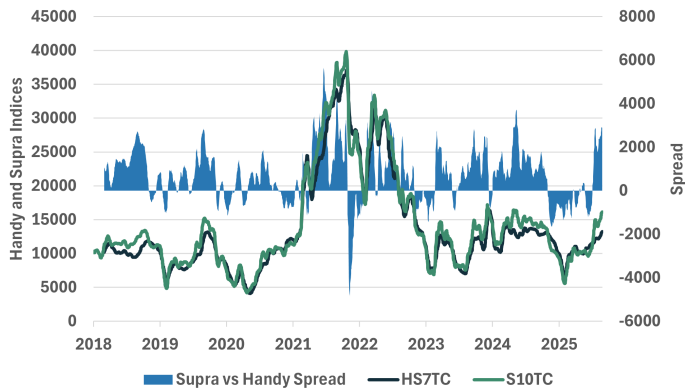
Supramax Ultramax Weekly Total Loadings 2024 vs 2025



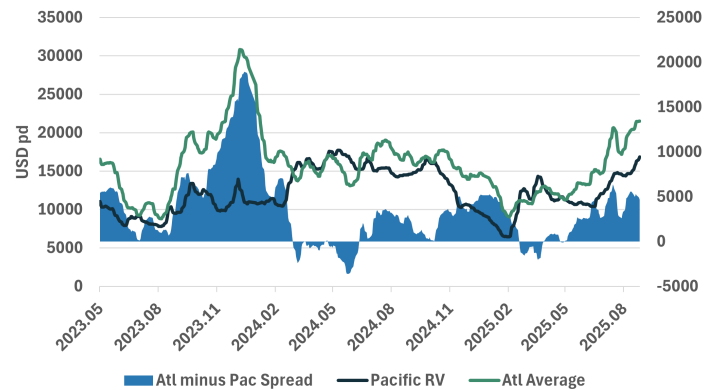
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Supramax58 Index vs Handysize38 Index Spread



Ultramax Atlantic vs Pacific Earnings





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